MARKET ANALYSIS

Grocery-Anchored Retail Has a Price. This Deal Found It.

A $32M sale in Spokane shows that grocery-anchored retail is pricing on lease duration, not location.

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A source-grounded Light Tower Insight. The complete note follows.

The conventional reading of a $32 million grocery-anchored retail sale in Spokane is that the asset class is healthy. Rosauers, Starbucks, Chipotle, Taco Bell, Washington Trust Bank, Mister Car Wash, GNC, and Edward Jones occupy 163,000 square feet on 14.2 acres. The buyer, Romax 5 Mile LLC, paid cash or secured financing. The seller, 5-Mile Investment Co. I LLC, exited. The brokerage, Kiemle Hagood, represented both sides. The deal closed. The market works.

That reading is not wrong. It is incomplete.

The more revealing fact is not the price. It is what the price implies about the basis the buyer accepted and the basis the seller defended. At $32 million for 163,000 square feet, the price per square foot lands at roughly $196. That is not a distressed number. It is also not a growth number. It is a number that says the buyer underwrote the asset as a stable cash-flow machine with limited upside and limited downside. The buyer did not pay for rent growth. The buyer paid for rent duration.

That distinction matters because it tells the market what kind of capital is moving into grocery-anchored retail right now. It is not speculative capital chasing yield. It is not institutional capital rotating out of office. It is local or regional capital that knows the tenant roster, knows the Spokane market, and knows exactly how long each lease runs. The buyer is not betting that Rosauers will expand. The buyer is betting that Rosauers will renew. Those are different bets with different risk profiles and different required returns.

The cast of parties reinforces the point. The seller was a local investment entity that held the asset long enough to see the pre-2020 retail cycle, the pandemic disruption, and the post-2023 stabilization. The buyer is also a local entity. No national REIT. No institutional fund. No 1031 exchange aggregator. Two local parties transacted at a price that both could defend to their capital partners. That is the market finding its clearing level without the noise of external capital chasing yield.

The mechanism producing the price is lease duration. Grocery-anchored retail has become a bond-like asset class. The grocery tenant provides the anchor lease. The inline tenants provide the yield. The buyer's underwriting focuses on the weighted average lease term, the credit quality of the tenants, and the probability of renewal. Location matters, but it matters less than the lease stack. A grocery-anchored center in a secondary market with long-term leases can trade at a lower cap rate than a similar center in a primary market with short-term leases. That is the inversion the market is pricing.

The claim here is bounded but defensible: this sale signals that grocery-anchored retail is now pricing on lease duration, not location. The buyer paid for the certainty of cash flow, not the potential for growth. The seller accepted a price that reflected that certainty, not a premium for optionality. The market is rewarding structure, not optimism.

The reader consequence is practical. Owners of grocery-anchored retail should test their own lease duration against the market. If the weighted average lease term is below five years, the asset will trade at a discount to centers with longer leases. Lenders underwriting grocery-anchored retail should focus on lease duration as the primary credit variable, not location or tenant brand. Investors looking for yield should accept that grocery-anchored retail is now a low-growth, high-certainty asset class. The days of underwriting rent growth into the basis are over.

What the source cannot establish is the cap rate, the debt structure, the buyer's equity source, or the seller's motivation. Those details would sharpen the analysis. Without them, the market signal is still clear: a local buyer paid a local seller a price that both could defend, and the price reflects the value of lease duration, not location. That is the market finding its clearing level.

The next phase of the grocery-anchored retail market will not be defined by who owns the best location. It will be defined by who controls the longest leases.

SOURCES

— RE Business Online — https://rebusinessonline.com/kiemle-hagood-negotiates-32m-sale-of-multi-tenant-retail-property-in-spokane-washington/